

Economic development

Economic development is wider than economic growth. Besides improved living standards, it also involves reducing poverty, expanding the range of economic and social choices, and increasing freedom and self-esteem. As an economy develops, the economic welfare of its population increases. At first, the availability of basic life-sustaining products increases. Then consumption levels rise beyond those needed for survival, and people have more choice of what to consume, where to live and where to work.

The different stages of economic development

Most economies are developing, but their rate and level of development varies. Countries with high income per head also usually have relatively high economic development. They tend to have high living standards, a high proportion of workers employed in the tertiary sector, high levels of productivity and high levels of investment. Countries with lower income per head usually have lower economic development with lower living standards and a number of other characteristics, as explained below.

International organisations classify countries in a variety of ways. The United Nations, for instance, divides countries into four levels of development - very high human development, high human development, medium human development and low human development. The World Bank divides countries into high income, upper middle income, lower middle income and low income.

Measures of economic development

It is not easy to measure development, but a number of ways are used. A common one is real GDP per head. This does measure an important aspect of development, material living standards, but it does not measure all aspects of development.

A wider measure is the Human Development Index (HDI). As explained in Chapter 32, this measures the extent to which people in a country achieve a long and healthy life, knowledge and a good standard of living. A figure of 0-1 is calculated for each country. An index of:

- less than 0.550 indicates low development
- 0.550-0.699 medium development
- 0.700-0.799 high development
- above 0.800 very high development.

Some countries are ranked higher in terms of HDI than real GDP per head, for example, Costa Rica, Vietnam and Zaire. Others have a higher real GDP per head ranking than HDI ranking, such as Kuwait, Pakistan and Saudi Arabia.

Causes of differences in economic development between countries

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There are a number of reasons why countries have different levels of economic development including:

- Differences in incomes per head. Economic development tends to be lower in countries with low real GDP per head. In such countries, some people may struggle to afford a good standard of living. However, this does not mean that all the people in such countries are poor. In fact, some can be very rich.
- Differences in saving due to differences in income per head. Poor people cannot afford to save and so the savings ratio (saving as a percentage of disposable income) of a country where the average income is low, is likely to be low. If savings are low, there will be a lack of finance for investment.
- Differences in investment. Countries with a low value of capital goods per worker will be likely to have low income per head.
- Differences in population growth. In countries with high population growth there is usually a high dependency ratio, with a high proportion of children being dependent on a small proportion of workers. This means that some of the resources which could have been used to improve the quality of life of the current population, have to be used to support the extra members of the population.
- Differences in education and healthcare. A lack of access to, or poor quality of, education and healthcare will reduce the quality of people's lives and will result in low levels of productivity.
- Differences in the size of the primary, secondary and tertiary sectors. Economic growth and the quality of people's working conditions tend to be lower the greater the proportion of workers employed in the primary sector: Underemployment can be high in agriculture. For instance, ten persons may be doing the work of six. This, again, lowers productivity.
- Differences in the concentration on a narrow range of exports (most of which are primary products). Countries that export a narrow range of products can be adversely affected by large decreases in demand or decreases in supply. The demand for manufactured goods and services tends to increase more than the demand for primary products as income increases.
- Differences in productivity. Countries with a low output per worker hour will tend to have low income per head and so may have, for instance, lower education and healthcare.

As suggested above, the causes of differences in economic development are inter-related. Indeed, countries can be subject to what is known as the under-development trap or the vicious circle of poverty. This is the problem, that a country with low incomes has a low saving rate. This means that most of their resources are used to produce consumer goods. The lack of capital goods keeps productivity and income low, as shown in Figure 35.1.

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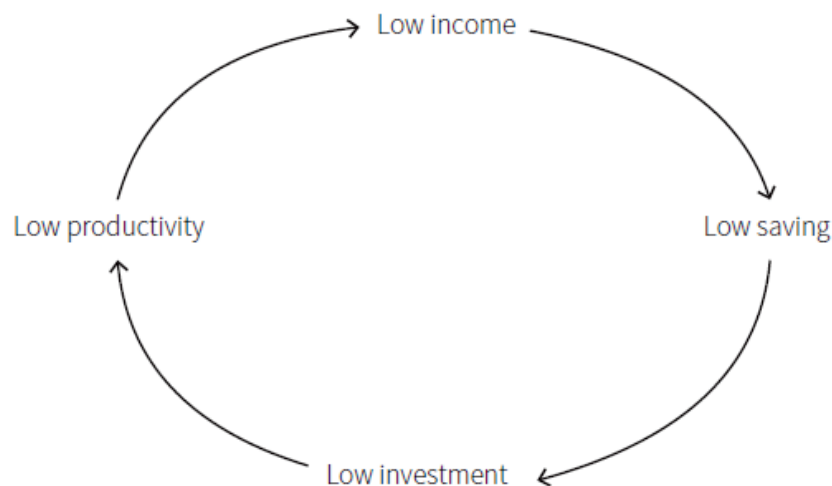


Fig. 35.1: The vicious circle of poverty

Why governments seek to achieve economic development

Governments pursue economic development because they want higher real GDP, higher living standards for their citizens and expansion of the range of economic and social choices.

Economic growth has the potential to raise material living standards. If higher real GDP consists of both more consumer and capital goods the country's population should be able to enjoy more goods and services, both now and in the future. Life expectancy may be increased and infant mortality rate may be reduced.

For economic development to be achieved, it is important that all people should have access to higher living standards. For this to occur, it is important that the distribution of income does not become too uneven and poverty is reduced.

A reduction in poverty brings benefits both to the poor and to the wider society. Lifting people out of poverty gives them access to (at least) basic necessities, improves their mental and physical health, and raises their expectations. People who enjoy better living standards are likely to be more productive, which in turn should lower the country's average costs and make the country more internationally competitive. A reduction in poverty may also reduce pollution. As people become better off, they are more likely to have access to sanitation and environmentally friendly forms of heating.

Expanding the range of economic and social choices, increasing freedom and self-esteem includes increasing access to education, healthcare and participation in the political process. This should improve the quality of people's lives and enhance future economic performance. Economic development can create a virtuous circle. As income, education and

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healthcare increase, saving and investment increase and workers become more productive. This raises international competitiveness, which can lead to even higher output and income.

The conditions for economic development

Most economists agree that for economic development to occur, there needs to be an improvement in the quantity and quality of resources. More investment, improved education, training and healthcare can raise not only real GDP but also the quality of people's lives, their life expectancy and their choices.

The impacts of differences in economic development between countries

Countries develop at different rates at different times. These differences have implications for both them and for other countries.

The problems facing economies with relatively low economic development

Economies with relatively low economic development may face a number of difficulties in seeking to improve their economic performance and living standards. These include:

- High growth of population. A high birth rate can result in resources being used, for instance, to feed and educate children. These could instead have been used to increase the country's productive potential and living standards.
- High levels of international debt. Many poor countries have borrowed heavily in the past. In some cases, a large proportion of the country's income is taken up in repaying (and paying interest on) foreign loans. This means it cannot be used to spend on education, healthcare and investment. So the opportunity cost of repaying debt may be economic development.
- Reliance on the export of primary products. Over a period of time, the price of primary products tends to fall, relative to the price of manufactured goods and services. This means that some poor countries receive relatively less for their exports, whilst having to pay more for their imports. Over the last fifty years, a range of prices of primary products, including copper, coffee, cocoa and coal, have been falling. A number of primary markets are dominated by the consuming countries and these rich countries use their buying power to keep down the prices of primary products. There have also been significant fluctuations in the price of some primary products due to climate changes and other factors affecting natural resources.
- Lack of investment in human capital and capital goods. Lack of expenditure on education, training and capital goods holds back increases in productivity, introduction of new technology and international competitiveness.

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- Emigration of key workers. Doctors, nurses, teachers, managers and other key workers may seek better-paid employment abroad. Since 1999, for instance, more medical staff have emigrated from Ghana than the country has been able to train. Most of these have emigrated to Canada, the UK and USA.
- Trade restrictions on their products. Tariffs, other restrictions and foreign government subsidies on their own products, make it difficult for developing countries to sell their products at home and abroad, on equal terms. The steepest tariffs tend to be imposed by rich economies on those products, which poorer economies concentrate on, including agricultural produce and labour-intensive manufactured goods. These tariffs also build up as the goods are processed into higher-value-added goods, so that poorer economies are discouraged from building up their industries.
- Unbalanced economies. Certain markets may be under-developed such as the financial sector. A lack of a developed financial sector is likely to discourage saving and investment.

Measures to promote economic development

There is some disagreement about the best ways to promote economic development, for instance, whether it is better to rely on government intervention or market forces operating in the private sector, whether countries should rely on domestic or foreign sources of investment funds. One strategy, which involves government intervention, is what is called import substitution. This involves the protection of new domestic industries against foreign competition by the government.

This help is designed to allow the industries to grow and as they do so, imports can be replaced by domestic products. If successful, the strategy can increase domestic output, raise employment and improve the country's trade in goods and services balance. There are risks, however, with this strategy. In the short term, at least, it may raise prices and reduce choice and hence lower economic welfare. Other countries may also retaliate and the domestic industries may become reliant on protection without seeking to increase their efficiency and competitiveness.

An alternative strategy is to try to promote exports by exposing domestic firms to market forces. The idea is that, without government support, firms will be forced to become efficient. The success of this policy, however, depends on the firms being able to compete with foreign firms, some of which may have been established for some time (and as a result may have built up consumer loyalty) and may be taking advantage of economies of scale.

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Another strategy is to improve the country's infrastructure, capital stock, education, training and healthcare systems. As the country may lack the tax revenue to do this, it may seek to attract multinational companies (MNCs), loans from abroad or foreign aid.

MNCs may promote development in their host countries. They can increase employment and wages, train and educate workers, bring in new technology and improve infrastructure, for example, by building roads and improving dock facilities. MNCs may pay workers in poor countries less than that in their home countries and may provide them with poorer working conditions. Nevertheless, as long as the wages are higher and the conditions are better than those generally operating in the host countries, the MNCs will be making a positive contribution to development. There are circumstances, however, when MNCs may harm development. MNCs may deplete non-renewable resources, cause pollution and put pressure on host governments to pursue policies which have a detrimental effect on development such as reducing health and safety regulations.

Borrowing from abroad can work, if the funds are used in a way which raises productivity and generates enough income to repay the loans, and make a contribution to higher living standards. Interest charged on loans, however, can be high which makes some projects unviable. Also, there is the risk that projects may not be as successful as expected. If this is the case, the countries will accrue debt. Some of the money raised may be used for unprofitable prestigious projects, or on the military or may be lost due to corruption.

Foreign aid

Foreign aid, by its very nature, is on more generous terms than borrowing on commercial terms. It has the potential to increase development, but it can create economic and political dependency, postpone necessary reforms and bring in inappropriate technology. For example, a gift of complex capital equipment may not be that useful for a country with a high level of unemployed workers who lack education and training. Also, there is a risk that any financial foreign aid may be used for non-profitable projects and there may be corruption in its use.

Foreign aid may be given out of a desire to help people, win political support and gain commercial advantage. In the last case, the aid is likely to be in the form of tied aid. This means that conditions are placed on what the recipients can spend the aid on. Often the requirement is that it has to be spent on products produced by the donor countries. Foreign aid can be bilateral or multilateral. Bilateral aid is aid from one government to another, whereas multilateral aid is given through international organizations to developing countries. Such organisations include the United Nations, the World Bank, and the International Monetary Fund (IMF), and the EU and non-government organisations including charities such as Oxfam.

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Foreign aid can come in a variety of forms including grants, which do not require repayment, loans charged on favorable terms and the supply of goods, services, technical assistance and guidance. The IMF and World Bank have been criticized for attaching conditions to some of the loans they make. They often require governments to follow what are known as structural adjustment programmes. These are designed to increase the quality and quantity of resources but they may, at least in the short term, reduce economic growth and development. For instance, a government may be required to cut its expenditure and this may reduce the provision of education and healthcare.

It is thought that foreign aid is more likely to promote development if it is more generous, multilateral, untied and is geared towards the needs of the recipients.

How the economic development in one country can promote economic development in another country

In an increasingly global market, the events in one economy have a greater impact on other economies. For instance, a buoyant UK economy would be likely to benefit Tanzania, while an improvement in the Tanzanian economy should bring some advantages to the UK. If the UK economy grows, the UK government will receive more tax revenue and this will enable it to increase its foreign aid, some of which may go to Tanzania. Incomes will be higher in the UK and its people and firms may buy more imports from Tanzania, including more UK people going on holiday to Tanzania. UK firms are likely to earn higher profits and this may encourage some of them to set up units abroad, especially if the UK economy is reaching full capacity.

The UK economy may also develop as a result of an improvement in education. A more educated UK population may be more concerned and interested in the dynamics of other economies. This may result in pressure on the UK government to give more foreign aid to Tanzania and more UK citizens visiting Tanzania as tourists. The development of the Tanzanian economy can also benefit the UK. A more developed Tanzanian economy will need less aid, be able to buy more products from the UK and invest more in the UK.